CORPORATE LAWS & PRACTICES

Suggested Answers

July-August 2023

Answer to the Question# 1(a)(i):

Section 92 of the Companies Act, 1994 states that a person shall not be capable of being appointed director of a company by the articles and shall not be named as a director or proposed director of a company in any prospectus issued by or on behalf of the company or in relation to any intended company or in any statement in lieu of prospectus filed by or on behalf of a company unless before the registration of the articles or the publication of the prospectus, or the filing of the statement in lieu of prospectus, as the case may be, he has by himself or by his agent authorised in writing -

a) signed and filed with the Registrar a consent in writing to act as such director; and
b) in the case of companies having a share capital –
    i) signed the memorandum for a number of shares not less than his qualification shares; or
    ii) taken from the company and paid or agreed to pay for his qualification shares; or
    iii) signed and filed with the registrar a contract in writing to take form the company and pay for his qualification shares; or
    iv) made and filed with the Registrar any affidavit to the effect that a number of shares not less than hisqualifications share are registered in his name.

Moreover, as per the section 97 of the Companies Act, 1994, (1) it shall be the duty of every director to hold qualification share to be specified in the articles and, if he is not already qualified, he shall obtain his qualification within sixty days after his appointment, or such shorter time as may be fixed by the articles.

(2) If, after the expiration of the period mentioned in sub-section (1) any unqualified person acts as a director of thecompany, he shall be liable to a fine not exceeding two hundred taka for every day between the expiration of the said period and the last day on which it is proved that he acted as a director (both days inclusive).

Answer to the Question# 1(a)(ii):

As per the section 108 of the Companies Act, 1994, the office of a director shall be vacant, among others if-

a) he fails to obtain within the time specified in section 97 (1) or at any time thereafter ceases to hold, thequalifications--hares, if any, necessary for his appointment; or
b) he fails to pay calls made on him in respect of shares held by him within six months from the date of such callsbeing made; or
c) he absents himself from three consecutive meeting of the directors or from all meetings of the directors for acontinuous period of three months, whichever is the longer, without leave of absent from the Board of Directors; or

Hence, the post of the directors who have not yet paid their contribution and are not attending the Board meeting without leave of absence, have become vacant.

Moreover, as per the section 106 of the Companies Act, 1994, the company may be extraordinary resolution remove any share-holder director before the expiration of his period of office and may by ordinary resolution appoint another person in his stead and the person so appointed shall be subject to retirement at the same time as if he had become a director on the day on which the director in whose place, he is appointed was last elected director.

Having those documentations, the company shall apply for the amendment of Form XII.

Answer to the Question# 1(a)(iii):

As per the section 81, The Companies Act, 1994 every company shall in each year of the Grogorian calendar hold in addition to any other meetings a general meeting as its annual general meeting and shall specify the meeting as such in the notices calling it; and not more than fifteen months shall elapse between the date of one annual general meeting of a company and that of the next:

Provided that a company may hold its first annual general meeting within a period of not more than eighteen months from the date of its incorporation; and if such general meeting is held within that period, it shall not be necessary for the company to hold any annual general meeting in the year of its incorporation or in the following year;

(2) If a company defaults in complying with the provisions of sub-section (1), the Court may, on the application of any member of the company, call or direct the calling of a general meeting of the company and give such ancillary or consequential direction as the Court thinks expedient in relation to the calling holding and conducting of the meeting.

However, as per the section 183, The Companies Act, 1994 the Board of Directors of every company shall, at every annual general meeting held in pursuance of section 81, lay before the company a balance sheet together with the profit and loss account or in the case of a company not trading for profit. an income and expenditure account for the period specified in sub- section (2) of this section.

(2) The said profit and loss account or the income and expenditure account shall be prepared for the following period, namely:

(a) in the case of the first annual general meeting for the period beginning with the date of incorporation of the company and ending on a date which is within nine months preceding the date of the meeting; and

Provided that date the Registrar may, on an application being made to less before the expiry of the said nine or twelvemonths, extend the period by a period not exceeding three months.

(3) The balance sheet and the profit and loss account or income and account shall be caused to be audited by the auditor of the company as in this Act provided and the auditor's report shall be attached thereto or there shall be inserted at the foot thereof a reference to the report and the report shall be read before the company in general meeting and shall be person to inspection by any member of the company.

(4) The period to which the account aforesaid relates is referred to in this Act as a `financial year" and it may be less or more than a calendar year, but shall not exceed fifteen months:

Provided that it may extend to eighteen months where special permission had been granted in that behalf by the Registrar.

In case of ABC Ltd., first AGM would be held within 31 December 2021, i.e. within 18 months from the date of its incorporation. And the financial statement would be for the year ended 30 June 2021. And the audit of the financials would be completed before 31 December 2021.

As the company failed to hold the AGM by that time, with the due permission of the Court such AGM can be held. The court can give such directors as it thinks fit to regularize the pending issues and holding of subsequent formalities.

Answer to the Question# 1(b)(i):

Right of Pre-emption:

The right of pre-emption gives equity shareholders (essentially ordinary shareholders) the right of first refusal to take up any new equity shares in proportion to their existing shareholding. Pre-emption rights can be excluded, broadly speaking, either by provisions in the articles, in the case of a private company, or by passing a special resolution.

If Mr. X does not want to carry on as a shareholder of NRB Bangladesh Ltd and wants to transfer to his friend Mr Y following the steps given below:

a) As the right to transfer of shares in a private limited company can be restricted, hence, the Article of Association (AOA) of that Company must be evaluated before planning for the transfer proceedings. The shares of the company can be freely transferred to an outsider provided the shareholder satisfied the "Pre-emption" clause, which means that if a shareholder wishes to sell or transfer a few or total of his/her shares, that shares should be offered to the existing shareholders at first, at a price determined by the Directors or the Auditors of the Company and no existing shareholder is interested. Otherwise, to transfer the shares to chosen one, a waiver of pre-emption right from the existing shareholders will be required.

b) Considering a waiver of pre-emption right is available from the existing shareholders, Mr. shall notify to the Board of Directors of the Company in writing. The Board of Directors may exercise the power to deny the movement of shares in certain circumstances endorsed in Article of Association (AOA). The Board of Directors should hold a board meeting in respect of approving share transfer and also grant a declaration in this regard. In this regard, the Board must also take into account whether any of the license of the companies mandates that a prior approval for regulatory authorities must be obtained prior to approval of share transfer. For example, Bangladesh Telecommunication Regulatory Authority, NOC from the concerned Banks in case of borrowings, etc.

c) After getting the company's approval, the payment of the price of the shares should take place. As per Section 38(3)(ka) of the Companies Act 1994, the signature of the share transferee must be confirmed in the transfer deed. After submitting the necessary share transfer documentation to the Registrar's Office; the concerned share transferee will then have to appear in person and re-sign to confirm the authenticity of the share transfer [(as inserted under Section 38(3)(Ka) Ka)]. Since the transferee, Mr. X is a NRB (Non Resident Bangladeshi), the transfer documents and affidavits in support of the transfer of shares must be certified by the authorized officer of the Bangladesh Embassy/High Commission [Section 38(3)(Ka) Kha)]. According to Section 38(3)(Ka) (Ga), if the transferee fails to appear at the office of the Registrar due to cogent reason, the Registrar can construe a commission for verifying the signature, upon the payment of fees.

d) After that, the shareholder who is transferring his/her shares should submit the required documents and also sign the Form 117 at the presence of the officials of the RJSC and RJSC will record the transfer. Stamp duty is payable on the transaction value of each share and after signing Form 117, a copy of the document should be sent to the Company for the record.

e) After completion of the above-mentioned steps, the company should update its share registrar, share transfer registrar, minutes registrar and issue a share certificate in favor of the new shareholder or modify the existing share certificate to reflect the changes.

Answer to the Question# 1(b)(ii):

Required Documents for Share Transfer of the Company:

(i) Pre-emption right waiver from the existing shareholders
(ii) A letter containing that the Board of Directors of the Company approved the share transfer.
(iii) A document containing a number of shares to be transferred of the Company.
(iv) Form 117(singed)
(v) Board Resolution by the company approving the transfer of the shares; and
(vi) Share Transfer Certificate.
(vii) Any other documents, as may be required depending on the situation.

Answer to the Question# 1(c)(i):

Remittance of capital in addition to the paid-up capital shown in the Memorandum of Association of Company, the amount is shown as 'Share Money Deposit'. Issuance of Shares against such 'Share Money Deposit' is required to be made within 60 days from the date of approval of share issues by the Board and a Return of Allotment [Form XV] is also filed with Registrar of Joint Stock and Companies and Firms (RJSC) of Bangladesh within those 60 days [section 151, the Companies Act, 1994]. Otherwise, permission from the

High Court, Supreme Court, Bangladesh is required for issuance of shares and filing of the Form XV with RJSC.

From the review of the documents, please find that remittance for issuance of 2nd and 3rd trance of shares dated 11 June 2022 and 19 July 2022 have exceeded 60 days as of today. Hence, in order to issue such shares, the permission from High Court will be required.

Answer to the Question# 1(c)(ii):

It has been observed by the Financial Reporting Council (FRC) that some companies receive money from the shareholders with an intension to issue shares against those money. These are kept in the equity as share money deposit until issuing shares against them. While calculating Earnings per Share (EPS), earnings which have been earned also using the share money deposit are divided by the share against paid up capital only. This has overstated EPS to some extent.

To restrict such intentional overstatement of EPS, FRC has advised to consider the shares money deposit as potential share capital thus considering those shares along with the paid-up shares while considering EPS calculation.

Hence, total 355,917 shares (100,000+ 255,917 shares under share money deposit) should be considered for calculating EPS.

FRC has also advised to complete all necessary formalities to issue share against share money deposit within 6 months from the date of receipt of money.

Answer to the Question# 1(c)(iii):

The process of reduction of share capital are as follows-

1. Board resolution should be taken following the clause of articles for capital reduction;
2. Special resolution should be taken in General meeting accordingly;
3. Apply to the court (High Court division, Bangladesh Supreme Court) for approval along with Creditors' consent;
4. Obtaining court approval;
5. Applying to RJSC for recording; and
6. Memorandum shall be modified accordingly.

Answer to the Question# 2(a):

The last date of holding of BoD meeting for adoption of Q3 Financial Statement is 30th April 2023. As per Bangladesh Securities and Exchange Commission Notification No. BSEC/CMRRCD/2006-158/208/Admin/81 dated: 20 June 2018 para 3(a), the company shall notify the Commission and the stock exchange in advance the date and time of its board of directors' meeting specially called for consideration or adoption or its quarterly financial statements and for declaration of any entitlement including interim dividend for the shareholders before 3 (three) working days of holding such meeting.

Any unaudited financial statements of the company shall be authenticated on behalf of the board of directors with the signatures of the Chief Executive Officer (CEO) or Managing Director (MD), Chief Financial Officer (CFO) or Head of Finance and Accounts and the Company Secretary (CS) including at least two directors of the board until and unless otherwise required by applicable primary regulators.

The board of directors of the company, while considering or adopting any quarterly financial statements, shall, in the same board meeting, declare the Net Asset Value (NAV) per share, Earnings Per Share (EPS) and Net Operating Cash Flows Per Share (NOCFPS) and to be sent to the SEs and SEC as price sensitive information within half an hour of the end of the meeting. In case of any significant deviation in any parameter, reason shall be provided.

Q3 Financial Statements to be published in at least two widely circulated national dailies, one in Bengali and the other in English as well as in one online daily news site as price sensitive information.

Answer to the Question# 2(b):

Before applying for launching venture capital fund with BSEC, there must be a legal entity under which the fund will be launch. In this regard, they need to form a limited company first. In this regard, they need to fix the name of the proposed company, registered address of the company, list of directors and their particulars.

Thereafter, following the RJSC procedure, application for formation of private limited company shall be submitted with RJSC. In this regard the following documents will be required:

a) Memorandum & Articles of Association, original + 2 copies
b) Filled in Form I: Declaration on Registration of Company [Section 25].
c) Filled in Form VI: Notice of Situation of Registered Office and of Any Change therein [Section 77].
d) Filled in Form IX: Consent of Director to act [Section 92].
e) Filled in Form X: List of Persons Consenting to be Directors [Section 92]
f) Filled in Form XII: Particulars of the Directors, Manager and Managing Agents and of any change therein [Section 115]

Special Adhesive Stamps and Treasury Challan from Bangladesh Bank to Treasury (photocopy) of Collecting the Stamps.

Answer to the Question# 3(a):

Section 2(8)(a) of Financial Reporting Act 2015 stipulates certain criteria and an entity, which shall fulfill any of those criteria, shall be treated as "Public interest entity".

Accordingly, to qualify as a PIE either of the following criteria must be full filled in relation to an entity, whose:

a) annual revenue in the preceding financial year exceeded Tk. 50 crores **[ref. sec 2(8)(a)(vi)]**
b) Asset and Liability criteria **[ref. sec 2(8)(a)(vii)]**:
   (i) total assets exceeded Tk. 30 crores; and
   (ii) total liabilities excluding shareholders' equity exceeded Tk. 10 crores.

In view of the above, it is clear that ABC Bangladesh PLC does not fulfil any of the criteria on revenue or asset and liabilities. Hence, as of now ABC Bangladesh PLC shall not treated as PIE.

Answer to the Question# 3(b)(i):

Bangladesh Securities and Exchange Commission (BSEC) vide notification No. BSEC/CMRRCD/2009-193/217/Admin/90, dated 21 May 2019, among other has issued the following directives-

- All sponsors and directors other than independent directors of a company listed with any stock exchange shall all time jointly hold minimum 30% (thirty percent) shares of the paid-up capital of the company;
- Each director other than independent director of any listed company shall hold minimum 2% (two percent) shares of the paid-up capital, otherwise there shall be a casual vacancy of director:

  Provided that any company or institution shall hold minimum 2% (two percent) shares of the paid-up capital of any listed company for nominating any individual against each position of director, otherwise there shall also be a casual vacancy of director.

In compliance with the above notification, although the requirement of holding at least 30% shares of the paid -up capital of the company, individual holding requirement (minimum 2% shares) by Mr. Rahman Sarker has not been meet.

Moreover, as per Corporate Governance Code of BSEC, independent director shall not hold more than 1% share of the company, but one of the independent directors has violated the rule.

Answer to the Question# 3(b)(ii):

Bangladesh Bank vide DFIM circular No. 09, dated 29 August 2022, has issued a directive for appointment of directors by the financial institution (FI)s.

Among others, the directive includes-

- ✓ Prior approval of Bangladesh Bank will be required for the appointment/ removal of directors of financial institution;
- ✓ No institutions can nominate more than one director in the FI at a time;
- ✓ Current employee, external auditors, advisor, consultant cannot be the director and within 5 years after the retirement from such post;
- ✓ Tenure of directors will be not more than 3 years and cannot hold the directorship for a consecutive 3 terms.

Further, Bangladesh Bank by the directive, issued some qualification/disqualification of directors, among others as follows-

- ✓ Minimum shares must be held by the directors except independent director as per BSEC regulation;
- ✓ Directors shall have at least 10 years of business/ management/ professional experience;
- ✓ Director or the company nominate the director shall not be loan defaulter;

The financial institution is non- compliant with the Bangladesh Bank directive with regard to-

- ➢ Tenure of chairman- the chairman is the director for more than 10 years consecutively;
- ➢ Nomination by ABC Bank PLC- as per directive more than one director cannot be nominated at a time. But the bank has nominated 3 directors at a time.
- ➢ Nomination by PQR group- although one director has been nominated by an associate but other one is nominated from group, which has no legal entity;

One director nominated by an institution- although there should have at least 10 years' experience, he has just completed his graduation and has no business experiences.

Answer to the Question# 3(b)(iii):

Board of director shall immediately address such non-compliance by-

1. The existing chairman will resign from the Board immediately and the Board will select another director as the chairman.
2. Keeping nomination of one director, ABC Bank PLC shall withdraw the nomination of 2 directors. They may be nominated from their subsidiaries.
3. PQR Group shall withdraw the nomination of director from the group and may renominate him on behalf of another associate.
4. Nomination of Son of the entrepreneur shall be withdrawn and be nominated the qualified one as his replacement.
5. Mr. Rahman Sarker, following due process will hold at least another 0.5% share of the FI.
6. Independent director shall off load his shares to bring it down less than 1%.

The process of nomination and/or withdrawn of directors to comply with the regulation shall be made with the intimation to Bangladesh Bank.

Answer to the Question# 4(a)(i):

As per Bank Companies Act, 2013, bank shall every year shall transfer at least 20% of distributable profit before distribution of dividend to statutory reserve account if the sum of statutory reserve and share premium, if any is less than the paid-up capital of the bank.

Since, the sum of statutory reserve and share premium amount is more than the paid-up capital of the bank as on 31 December 2021, the bank needs not to transfer any amount to statutory reserve account from 2021 distributable profit.

Calculation is as follows:

Particulars	31.12.2022
Paid-up capital	**3,959,033,190**
Sum of Share premium and Statutory reserves	**4,526,695,437**
Share premium	1,260,585,930
Statutory reserves	3,266,109,507

There is no statutory obligation to transfer any amount to general reserve unless the Board of Directors decide.

Answer to the Question# 4(a)(ii):

As per Bangladesh Bank dividend policy applicable for bank, since the bank has been able to maintain capital reserve @14% along with 2.5% capital conservation buffer against its risk-based assets as on 31 December 2021, the bank allowed maximum dividend @ 25%, out of which 12.5% will be cash and 12.5% will be stock. Such payout is also covered by the profit available for dividend:

Particulars	No. of shares	Amount in BDT
Net profit after tax		1,576,197,208
Less: Transferred to statutory reserves		0
Net profit available		1,576,197,208
Less: Dividend-		**989,758,289**
Cash @ 12.5%		494,879,149
Stock @12.5%	49,487,914.88	
Round down the fraction shares	49,487,914.00	494,879,140
Net profit to be transferred to retained earnings		**586,438,919**

Answer to the Question# 4(a)(iii):

From the above calculation, it is evident that total stock dividend has come as fractional figure. Since, practically fractional share is not possible to allot, the bank should take a note in dividend declaration agenda for both board and AGM that-

"The portion of fractional share (0.88) which is not possible to transfer through the Central Depository System (CDS) will be kept in record separately to accumulate with paid-up capital in future when it would become a whole share".

Answer to the Question# 4(b)(i):

According to section 17(1) (c) of Bank Company Act 1991, the Office of the director of Mr. X in 'CD Bank plc' shall be vacant with expiry of 2 month of the notice if dues are paid within specified time.

Answer to the Question# 4(b)(ii):

I would suggest Mr. X to pay off the dues against his guarantee to 'PD Bank plc' if he wants to maintain his directorship. As per section 17(4), any decision taken by Bangladesh Bank shall be final against which high court shall not intervene.

Answer to the Question# 4(b)(iii):

Yes, only after full payment of dues to 'PD Bank plc' against his guarantee as per section 17(6) and passing of 1 year after the date of full payment to 'PD Bank plc' shall be eligible to become a director of any bank and financial institution.

Answer to the Question# 5:

Assuming AFC Finance PLC is compliant with other requirement of independent directors.

Among others, as per Corporate Governance Code 2018, issued by Bangladesh Securities and Exchange Commission (BSEC), no ex-employees of any organization can be appointed as independent director within 2 years of his/her retirement.

Moreover, any person can act at a time as independent director up to 5 listed companies. However, as per Financial Institutions Act, 1993 no person can be appointed as director of FI who is also the directors of any other bank and insurance company, concurrently.

Considering the above, Mr. A Karim will not be eligible to act as independent director of AFC Finance PLC.

Answer to the Question# 6:

BASIS FOR COMPARISON	DOUBLE INSURANCE	REINSURANCE
Meaning	Double insurance refers to a situation in which the same risk and subject matter, is insured more than once.	Reinsurance implies an arrangement, wherein the insurer transfer a part of risk, by insuring it with another insurance company.
Subject	Property	Original insurer's risk
Compensation	It can be claimed with all insurers.	It can be claimed from the original insurer, who will claim the same from reinsurer.
Loss	Loss will be shared by all the insurers in proportion of the sum insured.	The reinsurer will only be liable for the proportion of reinsurance.
Aim	To assure the benefit of insurance	To reduce the risk of the insurer
Interest of insured	Insurable interest	No interest
Consent of insured	Necessary	Not necessary

Answer to the Question# 7(a):

Let me summarize the observations of the auditor with recommended possible solutions:

Sl	Observation of the auditor	Possible solution	Justification
01.	Trustee Board formation: Not as per labour law	As per labour law, there has to be a 7 members Trustee Board with 3 member each from management and CBA and other person is the Chairman of the Trust. The Company can follow this and reconstitute the formation of the Trustee Board.	In the Income Tax Ordinance, there is nothing mentioned on formation of the Trustee Board, hence there is no issue to reconstitute the Trustee Board, subject to it is again approved by NBR for continuation of the recognition.
02.	Company's contribution to the Fund for each employee exceeds the upper limit of 8% as recommended in labour law.	As per labour law, the limit of contribution to fund for each member is maximum 8% and minimum 7%. However, the Company can continue with the 10% as it is more beneficial for the employees.	Section 336 of the Labour Law allows to continue with more favorable provision, if it exists prior to the commencement of this labour law. In this instant case, the provident fund trust was formed in 2001, much before the Labour

03.	Interest on loan @ 4% is far below the rates recommended in the labour law.	As per labour law, the rate of interest recommended for loan from Provident Fund is as per bank rate. Accordingly, it will be much higher than the 4% rate as per Income Tax Ordinance. However, the Company can continue with the 4% rate as it is more beneficial for the employees.	Law introduced in 2006 and Rules thereon in 2015.
04.	Eligibility of company's contribution payment to outgoing members not complying with labour law.	As per labor law, the eligibility of company's contribution payment to outgoing members shall be two years of employment from the date of joining. The Company can follow this and revise the Trust Rules accordingly.	In the Income Tax Ordinance, there is nothing mentioned on the eligibility criteria for payment of outgoing members. Hence, there is no issue to revise the Trust Rules, subject to it is again approved by NBR for continuation of the recognition.

Based on the above mentioned solution, the Company can go ahead with the suggested revision of the Trust Deed and Rules, which needs to be approved by NBR again and this way both Income Tax Ordinance and Labour Law will be complied.

Answer to the Question# 7(b):

The steps that the Company needs to follow to address the observations of auditor:

The Company should follow the below steps, to ensure addressing the issues in line with the suggestions recommended above:

1) Revise the Trust Deed and Trust Rules as per recommended suggestions mentioned above.
2) Get validation of the same from a labour law consultant
3) Get approval of the existing Trustee Board on the revised the Trust Deed and Trust Rules and get authority to submit the same with NBR for recognition.
4) Submit and obtain formal approval of the revised the Trust Deed and Trust Rules from NBR
5) Send intimation letter to Labour Ministry with the copies of Revised Trust Deed and Rules along with copies of approval of NBR.

---The End---